

Fashion Retail Academy

Lesson 2 — Merchandise Financial Planning (MFP)

Merchandise Financial Planning converts a fashion business strategy into financial targets for sales, margin, inventory and purchases.

Core components of MFP

- Sales target — the revenue the business plans to generate.
- Growth — the expected change versus the base year.
- Gross margin — the gross profit target after merchandise cost.
- COGS — the planned merchandise cost.
- Inventory — stock investment needed to support planned sales.
- Purchases/intake — merchandise required to support the sales and inventory plan.
- Phasing — distributing the annual plan across months or seasons.

Illustrative example

Assume a menswear business plans ■10 crore annual sales, 15% annual growth, a 60% gross margin target, opening inventory of ■2.5 crore at cost and closing inventory of ■3 crore at cost. These are teaching assumptions, not industry benchmarks.

Metric	Illustrative assumption
Annual sales	■10.00 Cr
Growth	15%
Gross margin	60%
Opening inventory at cost	■2.50 Cr
Closing inventory at cost	■3.00 Cr

Key formulas

Base Year Sales = Planned Sales ÷ (1 + Growth %)

Gross Margin ■ = Sales × Gross Margin %

COGS ■ = Sales – Gross Margin ■

Inventory Change = Closing Inventory – Opening Inventory

Illustrative Purchase Need = COGS + Inventory Change

How to use the workbook

Change the assumptions in the Excel workbook and observe how the annual and monthly financial plan changes. Keep the monthly sales mix at 100%. Then create your own MFP for a hypothetical fashion business.

Learning outcome

After this lesson, students should be able to explain MFP, identify its major components, calculate basic sales/margin/COGS relationships and understand annual-to-monthly sales phasing.